

In the money options are those options which already have some payoff built in it. That means if it is a call option, then option contracts with strike prices lower than the current market price are called In The Money. They have some payoff in-built at the time of purchase as well. At the same time, for put options, contracts with strike price higher than Market Price are called In-the-money.

For call options:

Strike price < Current Market Price (CMP)



Even at the time of purchase, these call options have some pay off in-built as Market Price > Strike Price.

For put options:

Strike price > Current Market Price (CMP)



Even at the time of purchase, these put options have some pay off in-built as Market Price < Strike Price.

For instance, assuming it is a call option. Let's say the spot price of a stock is ₹16,130 and you buy a call option with a strike price of ₹16,100 at a premium of ₹51. This premium of ₹51 already has ₹30 as in-built pay off at the moment. Such option contracts are called In-the money Option contracts.

